

as-a-service (SaaS) and artificial intelligence segments, leaving hardware-heavy businesses relatively underfunded.

A recent report by Arkam Ventures predicts \$3–5 billion of private capital inflow by 2030 to the spacetechnology sector.

Government-backed demand is emerging as a critical enabler. Through programmes like Innovations for Defence Excellence (iDEX) meant to foster defence and aerospace and increased procurement of space-based solutions, early revenue visibility is improving for start-ups.

A parallel push on exports, combined with a more open For-

Equally crucial is commercial execution—getting to orbit, proving cadence and manufacturing at scale.

Skyroot’s Vikram-S flew as a sub-orbital demonstrator in 2022. Agnikul conducted a sub-orbital demonstration of its Agnibaan SOrTeD in June 2024.

Skyroot is now targeting the launch of Vikram-I, which will become the first orbital private-sector, around May 2026, in an event that will mark an inflexion point for Indian spacetechnology.

Space applications – earth observation data, supporting services in agriculture, disaster management, rural connectivity,

call government procurement the most important revenue stream for the sector as a whole. It is an important early de-risking mechanism, and not the full market. The opportunity itself is broader than government demand,” says Chandra of Arkham Ventures.

Long-term growth will depend on a diversified revenue mix across government, enterprise, global clients and data-led applications.

Suyash Singh, co-founder and CEO of GalaxEye, which is building India’s first multi-sensor imaging satellite, says Indian start-ups are largely on par in terms of capability with their

GOVERNMENT PROCUREMENT WILL BE VERY IMPORTANT, AS THIS CREATES ANCHOR DEMAND IN A SECTOR WHERE PRODUCT DEVELOPMENT CYCLES ARE LONG; AND IT GIVES CREDIBILITY

foreign Direct Investment regime, is also expected to ease both capital inflows and outflows, strengthening the ecosystem’s financial foundation.

That said, the sector remains in its early stages. The absence of near-mature companies across key segments like satellite imaging, communications, and launch services means the ecosystem is still evolving. The next phase of growth will hinge on a handful of start-ups demonstrating commercial viability at scale.

EXIT STRATEGY

Most crucial is the need for spacetechnology companies to offer an exit strategy to their investors.

and climate monitoring – make up 75% of the value of spacetechnology and are dominated by government-run infrastructure.

Government procurement will be very important for start-ups, as this does two things at once: it creates anchor demand in a sector where product development cycles are long and technical validation is enormously important; second, it gives young companies credibility.

“In spacetechnology, an early contract is not just revenue, but also proof that the product works in a mission-critical environment, which can materially de-risk the business for future customers and investors. But I would not

global peers.

“We may be six months to a year behind, but we do have launch vehicles and the ability to build satellites. Where we lag is in capacity—we don’t yet have thousands of satellites in orbit,” he says.

As space becomes central to both economic power and national security, India’s ambitions are no longer optional, they are strategic. The country has built capability, sparked start-up momentum and opened up policy.

The next phase will test execution—scaling capital, creating global businesses, and delivering meaningful exits. **BT**

@PalakAgarwal64